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Team Blockchain Brainiacs

Islami Bank Bangladesh LTD

Topic: Recruitment Policy and Benefit Analysis of Islami Bank Bangladesh Ltd.

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Letter of Transmittal

November 4, 2023

Shahid Hossain (Shh)

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Subject: Regarding the report on Islami Bank Bangladesh Limited.

Dear Sir,

With due respect, we are the students of section 4, submitting our report on the Recruitment policy and benefit analysis of Islami Bank Bangladesh Ltd. under the course of MGT-351.

Though we are on the learning curve, this report enabled us to gain insight into the core factors of the Human Resource Management sides of IBBL. Additionally, it was an extremely challenging and interesting experience.

Thank you for your supportive consideration for formulating the idea, without your inspiration, this report would have been incomplete. Hopefully, this report can serve its meaning of purpose. Lastly, we would be thankful once again if you give your advice on our effort.

Yours Sincerely,

Jahin Fairuz Sazza (**G.Leader**)

Mohammed Ibrahim

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Executive Summary

This study was done to discuss (IBBL) Islami Bank Bangladesh Ltd.'s Human Resource Management. IBBL is an Islamic banking company (Private Limited Company) based in Bangladesh. This study will largely concentrate on three categories among the different facets of HRM:

- 1. The Recruitment and Selection Process**
- 2. Training and Development**
- 3. Benefits Offered**

We got an informal interview with one of the senior executives of Islami Bank. His name is Zahir Mohammad Alam. He gave us some detailed and in-depth information about the IBBL's recruitment strategy, training methods, basic salary, and PF contribution. The remaining details were discovered from secondary research, including the official website of IBBL. They mainly recruit from internal and external sources. The candidates first go through a written test and interview as part of the selection process by a third party to maintain transparency & unbiasedness. Then they are subjected to another interview with the bank's HR specialists & senior executives. A distinct team of HR panel is made to take these interviews. The bank offers managers and staff a variety of training and development opportunities. These include performance reviews, on-the-job training, off-the-job training, etc. Bonuses, incentives, medical leave, transportation facilities, provident funds, gratuities, and other benefits are also provided by IBBL. Moreover, the company's interpersonal interaction culture and the effects of its strategic human resource management are discussed. The analysis shows that Islami Bank Bangladesh Ltd. holds a high standard and unbiased process in its HRM implications as a reputable name in the banking sector of Bangladesh.

1.0 Introduction

Islamic Bank Limited (IBBL) is the biggest & first private Islamic bank in Bangladesh, those who follow Sharia law having been set up in 1983. Moreover, it has over a thousand ATMs and 300 locations all over the country.

Our project's main objective is to concentrate on the HRM practices and strategies employed by IBBL to appropriately and morally manage its workforce. The division of maintaining IBL's success in HRM includes hiring, training, performance reviews, pay, incentives, fostering relationships, and making sure labor regulations are followed. It's quite difficult to manage a bright and varied staff, especially in a prestigious organization like IBBL. The purpose of this project is to explore the complex procedures, guidelines, and programs designed to guarantee staff development, moral behavior, and job satisfaction at IBBL. With the help of this project, we hope to give a thorough knowledge of IBBL's HRM initiatives and highlight their importance in Islamic banking and Bangladesh's larger financial scene.

2.0 Methodology

Primary Research: We interviewed Zahir Mohammad Alam, a senior executive of Bangladesh Islami Bank Ltd, from whom we gathered most of the information. We created a list of questionnaires according to the requirements of our report and interviewed him online to acquire the necessary information. The basic idea about the corporation and its framework was decently presented to us. To ensure our report is more detailed.

Secondary Research: For our secondary research, we took help from the annual report where we got their structure, mission, vision, and how they operate the corporation. Hence, we did not face any problems in finding our necessary data.

Limitation: We asked for a bit of details during the interview about the HR management process but they didn't want to disclose their strategy properly. They shared the basic terms with us.

3.0 Background Information

Islami Bank Bangladesh Limited was founded under the Companies Act 1913 and the Bank Companies Act 1991 of Bangladesh. Founded in March 1983, it is the first Islamic bank in Southeast Asia focusing on Shariah. The bank operates under the strict principles of Islamic banking, which means it doesn't charge interest (Riba) and adheres to financial and investing policies compliant with Shariah. As a public limited company, Islami Bank Bangladesh Limited's shares are traded on the Chittagong Stock Exchange in addition to the Dhaka Stock Exchange. With 20,878 workers, 394 branches, 237 sub-branches, and 2700 agent banking outlets, Islami Bank has the largest branch network of any private sector bank in Bangladesh. Its paid-up capital is Taka 16,099.91 million.

Islami Bank Bangladesh Limited provides a range of Shariah-compliant banking services, such as savings and deposit accounts, various financing facilities, and trade services. The bank has been recognized for its innovative approaches to Islamic banking. The bank actively engages in charitable and social endeavors, supporting community development, healthcare, and education as part of its corporate social responsibility.

4.0 Culture of Interpersonal Relationships

Culture and interpersonal relationship emphasizes the company's attitude towards coworkers and their work culture. For a better outcome, it's important to maintain a healthy atmosphere in the workplace and Islami Bank Ltd is very cautious about it. Here are some practices Islami Bank Bangladesh implements to promote these values:

- **Teamwork:** The company encourages teamwork by providing opportunities to work on challenging projects among employees for effective communication and knowledge-sharing.
- **Respect and Diversity:** Islami Bank Bangladesh ensures people of diverse cultures and beliefs are valued and respected. This is because of their diversity policies and practices in the workplace.
- **Employee Growth and Development:** They provide numerous training and development programs to help employees develop their skills. The Bank also offers many mentorship and coaching programs to ensure employee growth.

5.0 Current HR System

5.1 Recruitment

Islami Bank Bangladesh establishes its recruitment process by examining the need for employees for each department at the start of the year. Once the vacancy process is determined, it posts job openings in local newspapers and to recruitment agencies. They use both internal and external channels to recruit employees into their company.

Internal Channels -

For internal recruitment, the HR Department works with other departments to create a job description and publish the job opening position to internal employees of the company. This allows IBBL to primarily focus on existing employees within the bank and promote them to a higher position.

External Channels -

IBBL uses two important channels for the external recruitment process. They are primarily focused on entry-level job positions. The channels include

- 1. Local Newspaper:** The first source of recruitment options is through local newspapers, especially for job openings aimed at recruiting fresh graduates. The internal HR Department forms a committee to oversee the whole process.
- 2. Recruitment Committee:** The bulk of employees are sourced through the Bankers Selection Committee (BSC) administered by Bangladesh Bank and Dhaka University, which conducts written tests and interviews to shortlist candidates.

5.2 Selection Process

Islami Bank Bangladesh uses several assessment steps to evaluate job applicants. They are done to determine an applicant's verbal and analytical skills through written examination, viva voce, and interviewing potential candidates. Furthermore, applicants must be Bangladeshi residents, under the age of 30, and hold a BBA and Master's degree approved by UGC to apply for the job.

The selection process is divided into three phases:

- 1.** In the first phase, the Bankers Selection Committee (BSC) initiates the process by conducting a written examination to evaluate the candidate's knowledge, skills, and abilities. This phase helps to determine candidates with potential from the pool of applicants.
- 2.** The second phase includes a viva to address the applicant's relativeness to the job and shortlist the prospective candidates. This is pivotal since it determines whether an applicant is well-suited for the job.
- 3.** The third phase is administered by Islami Bank Bangladesh's recruitment committee, which includes HR Head, HR specialist, and officers from other departments. They conduct interviews to hire the best candidates among the shortlisted applicants.

Furthermore, a crucial part includes a thorough background check which is done through NSI and police verification. This is done to ensure candidates are fit for the job and aren't involved in illegal activities. In addition, Islami Bank Bangladesh maintains a diverse work culture. Hence, they prioritize candidates from ethnic and diverse backgrounds.

5.3 Training and Development

Training and development is one of the most vital sectors of Islami Bank Bangladesh Ltd. The place where the employees get the basic knowledge about a particular job & what they are expected to achieve for the bank by their performance.

Identification of Training and Development Needs -

All the employees on the desk are mandatory to get basic training. Employers keep the annual performance record that shows whether an employee has learned from the training & do they need more training in that particular area or not. Also in need of special tasks in the bank employees may need to get special immediate training sessions. They also have a program called *EDP (Executive Development Programme)* for the senior executives of the bank.

Islami Bank has set its training & development segment into two categories:

1. ON-THE-JOB Training: (Specialist Training)

In this training, they train an employee by actually involving them in the job where they can learn by doing and have immediate feedback through job rotation & special assignments. The current working employees of the bank are more encouraged to take this kind of training.

2. OFF-THE-JOB Training: (Foundation Training)

Here especially the new employees get special sessions through which they learn about the skills they should have, to do their certain jobs.

- **Manager/Supervisor's Role:** Managers give proper guidelines throughout the entire training process & after training employees are instructed to give a presentation about their learnings where managers sincerely observe that if the training & development process was effective enough or not.
- **Challenges Faced in Providing Training:** Lack of skilled trainers, shortage in logistic support, communication gap between manager and employee.

5.4 Benefits Offered

The main benefits offered by Islami Bank Bangladesh Ltd. are divided into two parts:

Financial Benefits -

With these benefits, employees are offered incentives, house rent, medical allowance, transportation allowance, loan facilities, bonuses, provident fund, gratuity & superannuation fund, etc

Non-Financial Benefits -

Benefits that are not monetary are included in this criteria. For instance, Islami Bank has a hospital where the employees get special discounts & facilities. Also, there are other employee welfare like Family vacations, children's educational facilities, promotions, and so on.

According to, ACR (**Annual Confidential Report**) employees are equally promoted. Islami Bank provides two types of promotions:

- Performance-Based Promotion
- Vacancy Promotion

Impact of Benefits Package on Employee Satisfaction: Islami Bank Bangladesh Ltd. follows a fixed standard to measure employee satisfaction.

Islami Bank Bangladesh LTD

When employees fulfill their distinctive target they get monetary incentives/bonuses but there can be exceptions. For instance, Some employees may not be satisfied through financial benefits in that case other non-financial incentives are offered (ex. Offering senior executives a family vacation). IBBL ensures that its benefit packages are competitive enough through market and employee research.

Challenges Faced in Providing Benefits: With rising healthcare costs, it's hard to fully evolve employee expectations, maintain an unbiased culture, etc.

5.5 PF and Gratuity

Provident Fund Policy -

Every employee at Islami Bank Bangladesh has a provident fund. IBBL allows its employees to set aside 10% of their basic monthly salary and the employer also contributes the same amount towards the PF. To be eligible, an employee must have worked for at least one year. Here is a breakdown of PF for a senior officer at IBBL:

- Basic Pay= BDT 24400/-
- House Rent= 50% of Basic Pay
- Medical Allowance= 10% of Basic Pay
- Transport Allowance= 10% of Basic Pay
- PF Allowance= 10% of Basic Pay
- Others= 16.72% of Basic Pay

Gross Salary= $[24400+12200+2440+2440+2440+4080]$ = BDT 48000/-

Increment= 9% of Basic Pay (Every Year)

Employer PF Deduction= 10% of Basic Pay

Vested Schedule:

Number of Years Served	Proportion of Employer's Contribution
Less than 1 Year	0%
More than 1 Year	100%

A senior officer's starting basic pay is BDT 24400/-, after 5 years of service and a 9% yearly increment, his/her provident fund will be -

Year	Basic Pay	Employee's Contribution	Employer's Contribution
1	24400/-	$2440 \times 12 = 29280/-$	29280/-
2 (+9% Increment)	26596/-	$2660 \times 12 = 31920/-$	31920/-
3 (+9% Increment)	28990/-	$2899 \times 12 = 34788/-$	34788/-
4 (+9% Increment)	31599/-	$3160 \times 12 = 37920/-$	37920/-
5 (+9% Increment)	34443/-	$3444 \times 12 = 41328/-$	41328/-
TOTAL		175236/-	175236/-

PF after 5 years stands at [175236+175236]

= BDT 350472/-

Gratuity Policy -

For employees who have worked for at least 7 years, IBBL provides a gratuity fund for them.

This a one-time payment offered to employees for their valuable service on time of retirement or if he/she decides to leave. Here is a breakdown -

For the First 7 Years= [7th Year Basic x 7] + [6 Month's Basic]

After 7 Years= [40922 x 7] + [40922 x 6]= **BDT 531986/-**

For the First 12 Years= [12th Year Basic x 1.5 x 12] + [6 Month's Basic]

After 12 Years= [62965 x 1.5 x 12] + [62965 x 6]= **BDT 1511160/-**

For the First 20 Years= [20th Year Basic x 2 x 20] + [6 Month's Basic]

After 20 Years= [125462 x 2 x 20] + [125462 x 6]= **BDT 5771252/-**

[Note: Decimal Avoided]

Furthermore, If an employee, due to any incident, dies while working with IBBL, a sum of BDT 1.8 million will be provided to the family of the deceased.

Also, an employee will be offered an amount of BDT 1.2 million as insurance for working with Islami Bank Bangladesh Ltd.

6.0 Implications of Strategic HRM

Islamic Bank Bangladesh Limited (IBBL) has several significant consequences for the organization's overall performance and sustainability. These are a few:

- 1. Cultural Sensitivity:** Their HRM policies conform to Islamic values and principles to maintain its status as an Islamic bank. This calls on HR to cultivate a culture that honors Sharia compliance by being well-versed in Islamic ethics and finance.
- 2. Training and Development:** To keep the personnel abreast of the most recent advancements in Islamic finance, IBBL's HRM should place a high priority on continuing training and development initiatives.
- 3. Diversity & Inclusion:** HRM ought to ensure that its staff comprises individuals with diverse backgrounds, experiences, and perspectives since this might lead to innovative ideas and enhanced customer service.

4. **Risk management:** Workers ought to get training on how to recognize, evaluate, and reduce risks related to financial transactions and Sharia compliance.
5. **Customer-Centric Approach:** To establish trust and loyalty in the Islamic banking industry, staff must cultivate a culture that prioritizes the requirements and expectations of customers.
6. **Compliance and Ethics:** HRM needs to be vigilant in upholding moral conduct and adhering to Islamic banking laws. This involves keeping an eye on how employees are following Sharia law and other regulations.
7. **Performance Management:** It's critical to put in place a strong system of performance management that keeps team and individual goals in line with the bank's strategic vision.
8. **Succession Planning:** To keep a pool of capable executives and specialists in Islamic banking, IBBL has to have a robust succession planning framework in place. By doing this, leadership and expertise are guaranteed to continue.

7.0 Recommendations

- **Robust Succession Plan:** To continue being a leader in the industry, IBBL needs to ensure it grows its pool of capable executives and specialists. This could be achieved through developing a robust framework, identifying high-potential employees, and setting a standard of training and development opportunities.
- **Diverse Work Culture:** IBBL can benefit from a diverse workforce. They can take measures to increase diversity through their hiring practices. This could help IBBL to better understand the needs of customers through distinct viewpoints, retain top talents, and offer opportunities to minorities.
- **Employee Well-Being:** The company can address employee well-being to support a healthy work-life balance through flexible work

arrangements and organizing programs targeted towards mental health issues.

- **Artificial Intelligence and Machine Learning:** IBBL can invest more of its funds into artificial intelligence to automate tasks and stay ahead of its competitors. It can help employees to focus more on strategic work and ensure efficient use of time and resources.

8.0 Conclusion

IBBL is an ideal example of human resources management done effectively in Islamic banking. It has achieved success and become a model for other businesses looking to incorporate religious values into labor management due to its conformity with Sharia-compliant standards. The company recruits based on Islamic banking knowledge and ethical values, with a rigorous selection process. They invest in training, ensuring staff expertise in Islamic banking for better customer service and strategic goals. Competitive benefits, provident funds, and gratuity schemes attract top talent, ensuring financial security and loyalty.

In conclusion, IBBL's HRM procedures show a strong dedication to workforce development, Islamic finance principles, respect, trust, and capable leadership. These methods support IBBL's success as a financial institution that complies with Sharia law and sets an industry standard.

References

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Appendix



Team Blockchain Brainiacs

Interview Details -

Zahir Mohammad Alam

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Islami Bank Bangladesh Ltd.